Topic: Financial Literacy & Investment Choices of students of St Aloysius (DEEMED TO BE UNIVERSITY), Mangalore

Introduction

In an increasingly complex financial landscape characterized by digital transactions, diverse investment options, and mounting student debt obligations, financial literacy has emerged as a critical life skill for college students
worldwide. Recent studies indicate that there is a low level of financial literacy among college students, with a notable disconnect where students rate financial literacy as very important while their interest in it is much less obvious

Financial Literacy: How Prepared are College Students for their Financial Futures? | The Journal of Research In Business Education

This paradox underscores the urgency of addressing financial education within higher education institutions.

The global scenario reveals concerning trends. Research conductedinspring2024 found that students with higher levels of student debt have significantly lower financial literacy, with those carrying high debt levels of $100,000 or more especially lacking adequate financial understanding

Financial Literacy and Student Debt: Survey of College Students by Hipolito Davila, Jitka Hilliard :: SSRN

This inverse relationship between debt burden and financial knowledge suggests that students are entering into significant financial commitments without the requisite understanding to manage them effectively.

The Indian context presents its own unique challenges. India continues to face a significant financial literacy gap, with only 27% of Indian adults being financially literate, which is far below the average of 52%inadvancedeconomies

How to improve financial literacy for India’s next generation | World Economic Forum

This deficit in financial skills poses major risks for young people, particularly college students who are at a crucial juncture in their financial lives, making decisions about education loans, credit cards, investments, and future planning.
Financial literacy encompasses more than mere knowledge of financial concepts; it involves the ability to apply this knowledge to make informed and effective decisions regarding money management, saving, investing, and debt management. For college students, this competency is particularly vital as they transition from financial dependence to independence, often making consequential financial decisions for the first time. These decisions, ranging from managing student loans and part-time earnings to understanding credit mechanisms and planning for post-graduation financial responsibilities, can have

long-lasting implications on their financial wellbeing.

The significance of financial literacy extends beyond individual benefit. Higher levels of financial literacy in a population could catalyse fintech market expansion

Financial literacy among young college students: Advancements and future directions - PMC

, contributing to broader economic development and financial inclusion objectives. For students in institutions like St Aloysius College, developing strong financial literacy skills not only prepares them for personal financial success but also positions them as informed contributors to India's evolving financial ecosystem.

Despite the recognized importance of financial literacy, systematic assessment of college students' financial knowledge, attitudes, and behaviours remains limited, particularly within the Indian higher education context. Understanding the current state of financial literacy among college students, identifying gaps in knowledge and practice, and recognizing the factors that influence financial decision-making are essential steps toward developing targeted interventions and educational programs.

This study seeks to assess the financial literacy levels among students at St Aloysius College, examining their knowledge of fundamental financial concepts, their attitudes toward money management, and their actual financial behaviours.
By investigating the relationship between demographic factors, academic backgrounds, and financial literacy levels, this research aims to provide insights that can inform curriculum development, student support services, institutional policies aimed at enhancing financial capability among college students.

REVIEW OF LITERATURE

Kanika Chawla’s (2021) study on Delhi college students offers a vivid snapshot of spending habits, but it leans more toward lifestyle choices than financial literacy. While it touches on psychological aspects like mental accounting and the insula’s role in spending anxiety, these ideas aren’t deeply explored or tested. The paper also lacks a long-term view and doesn’t assess the impact of financial education, leaving out potential solutions. Nidar and Bestari (2012)focus on students at Padjadjaran University in Indonesia, revealing low financial literacy scores and a heavy reliance on parental guidance. However, they don’t connect knowledge to actual financial behaviour and miss out on qualitative insights or longitudinal tracking. Mohamad Fazli Sabri and Maurice MacDonald (2010) present a broader Malaysian perspective, showing that financial literacy helps reduce money-related stress. Still, their work is mostly quantitative and doesn’t explore cultural or emotional influences deeply. It also predates the rise of digital finance, which is now a major factor. WenboGuanand Hongwei Zhang (2023) examine Chinese students and highlight misconceptions about finance, such as treating investments like gambling. Their recommendations are thoughtful but remain conceptual, without empirical testing or attention to diversity factors like gender or socio-economic background. Finally, Dahiya, Özen, and Yadav (2023) assess Indian

students using the OECD/INFE toolkit and find low literacy levels, especially in compound interest and inflation. While they note gender and stream-based differences, the study doesn't link knowledge to real financial decisions or propose tested interventions. Across all five papers, the recurring gaps include limited geographic scope, lack of behavioural and psychological depth, short term focus, and minimal testing of educational solutions.

GAPS

1. Limited Geographic Scope
   - Chawla (2021), Dahiya et al. (2023), and Nidar &Bestari (2012)focus on specific cities or single universities, making generalization difficult.
2. Short-Term Focus
   - Most studies offer a snapshot in time without tracking how financial literacy or behaviour evolves post-graduation.
3. Surface-Level Behavioural Analysis
   - Chawla (2021) and Nidar & Bestari (2012) mention behaviour but don't deeply connect it to literacy or decision-making.
4. Lack of Qualitative Insights
   - Sabri & MacDonald (2010), Dahiya et al. (2023), and Nidar &Bestari (2012) rely heavily on surveys and statistics, missing personal narratives or interviews.
5. Minimal Psychological Exploration
   - Chawla (2021) introduces psychological concepts but doesn't test them rigorously; others barely touch on emotional or cognitive factors.

METHODOLOGY

In this research, a survey was conducted with a questionnaire containing14questions that addresses the demographics and financial literacy of students from ST Aloysius deemed to be university, Mangalore. A total of 32 students have responded to the questionnaire.

ANALYSIS

Question 2: Age

Chart Interpretation:

● The majority of respondents fall into the **17-19 age bracket**, representing **59.4%**of the total.

● The second largest group, at **40.6%**, consists of individuals aged **20-22**. ● The oldest age group, **22+**, has **no respondents** in this survey.

● This age distribution suggests the research primarily targets **younger undergraduates** or those recently starting college.

● All 32 responses are concentrated among those **17 to 22 years old**, indicating a young, college-aged sample population.

Chart Interpretation:

● The survey has a slightly higher representation of **Male** respondents, who account for **59.4%**.

● **Female** respondents make up the remaining significant portion at **37.5%**. ● A very small group,

3.1%, identified as **"The Other kind"** (likely "Other"). ● The sample is **not gender-neutral**, with males being the majority group by nearly22percentage points.

● This gender breakdown should be considered when generalizing the findings on financial literacy.

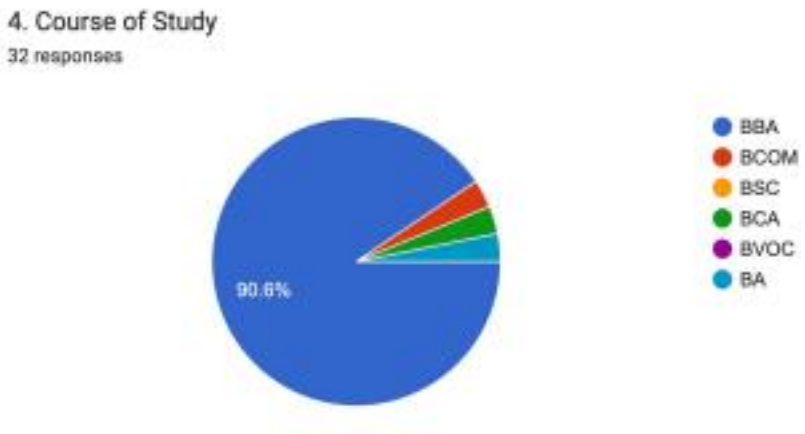

Chart Interpretation:

● An overwhelming majority of respondents, **93.8%**, are enrolled in the **BBA**(Bachelor of Business Administration) program.

● Other courses like **B.COM, BSC, BCA, B.VOC, and BA** together constitute only **6.2%** of the responses.

● This extreme concentration suggests the survey was primarily circulated among **BBA students**.

● The results are therefore most reflective of the **financial literacy levels of BBA students**. ● The lack of diversity in the course of study limits the general applicability of the findings to a broader student population.

Chart Interpretation:

● The majority of respondents, **59.4%**, stated that they **do maintain a personal budget**. ● Conversely, a significant portion, **40.6%**, admitted to **not maintaining a personal budget**.

● This indicates a relatively high, though not universal, level of **financial planning discipline**.

● Over half the students practice budgeting, which is a fundamental component of financial literacy.

● A substantial segment still needs to adopt budgeting as a practice, presenting an area for financial education focus.

Chart Interpretation:

● The largest group, **43.8%**, reports saving **Occasionally** from their monthly funds. ● A considerable portion, **37.5%**, saves **Regularly**, indicating consistent saving habits among over a third of the respondents.

● **Never** saving is the smallest group, but still accounts for a notable **18.8%**of the sample. ● The combined response for saving (Regularly + Occasionally) is over **80%**, which is a positive sign for financial habits.

● The dominant "Occasionally" response suggests **saving consistency** is the main challenge for most students.

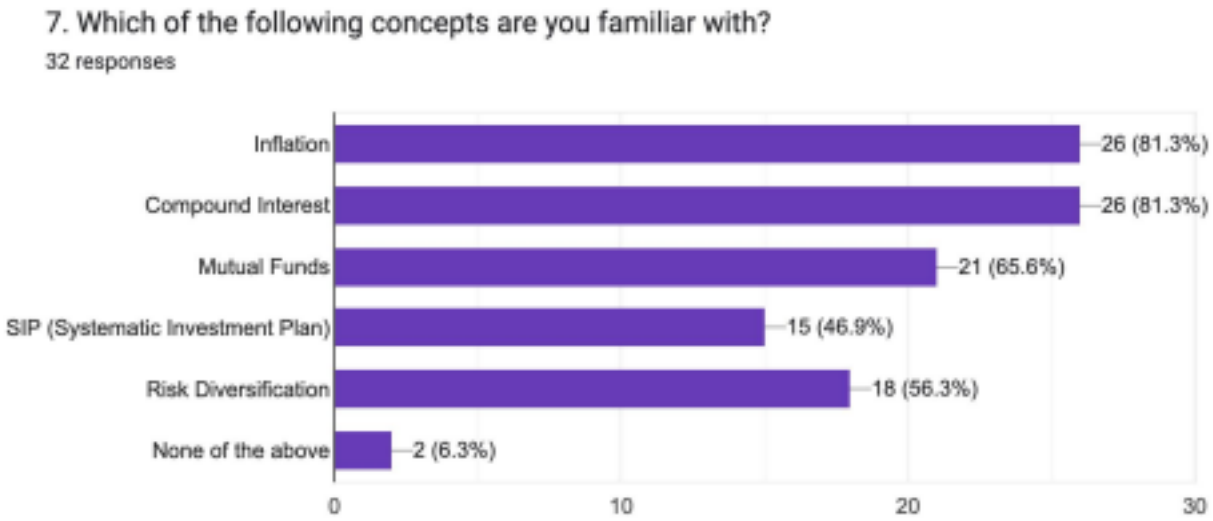

Chart Interpretation:

● **Inflation** is the most familiar concept, recognized by **93.8%**of the students. ● **Compound Interest** and **Risk Diversification** are also highly familiar, both at **93.8%** and **68.8%**, respectively.

● **Mutual Funds** are familiar to **65.6%** of students, while **SIP (Systematic Investment Plan)** is known by **46.9%**.

● Only a small fraction, **6.3%**, indicated being familiar with **"None of the above,"** implying high overall concept awareness.

● Familiarity with investment vehicles like SIPs is the lowest, suggesting a need to enhance knowledge about **specific investment tools**.

Chart Interpretation:

● The primary source of financial knowledge is the **Internet**, cited by **37.5%**of respondents.

● **Parents** are the second-most common source, contributing **25%**of the students' knowledge.

● **Formal classes/due** (likely formal education) accounts for **15.6%**, while **Social Media** is at **9.4%**.

● This highlights the **Internet's** dominant role in self-education on finance, surpassing traditional sources like parents or school.

● The combined influence of digital sources (Internet + Social Media) is significant, pointing to a trend of **digital-first financial learning**.

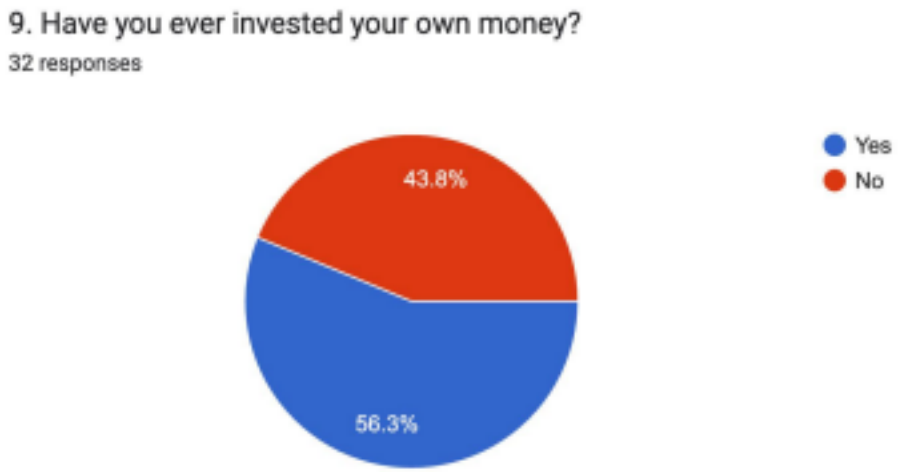

Chart Interpretation:

● A slight majority, **56.3%**, of the students have **invested their own money**. ● This indicates a commendable level of **proactive participation** in financial markets among students.

● However, a significant minority, **43.8%**, still has **not yet started investing**. ● The high "Yes" percentage correlates positively with the high financial concept familiarity shown earlier.

● The findings suggest a promising trend of **early investment engagement** within this student population.

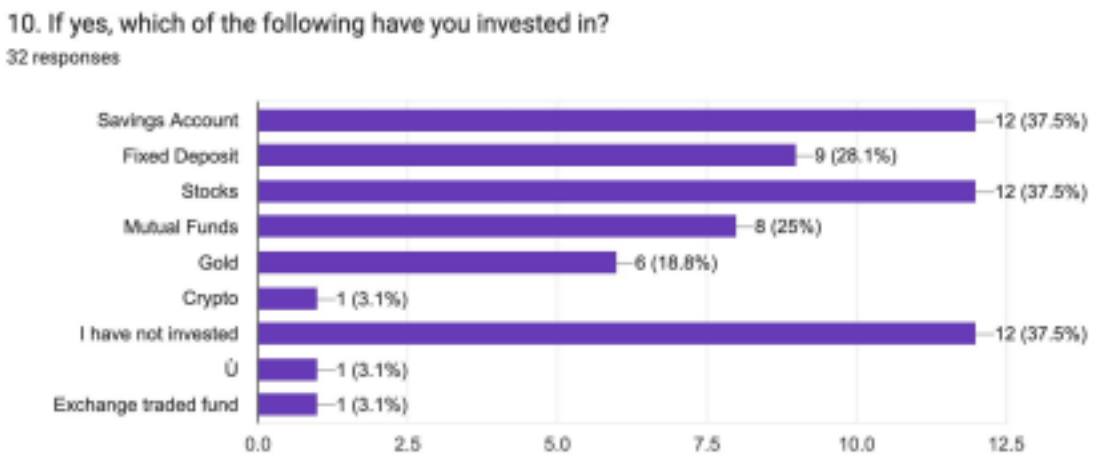

Chart Interpretation:

● **Savings Account, Fixed Deposit, Stocks, and "I have not invested"** are the most common

responses, all tied at **37.5%**.

- The equal percentage for "I have not invested" and the investment categories suggests confusion or multiple selections among investors and non-investors.
- Excluding the non-investor option, **Savings Accounts, Fixed Deposits, and Stocks** arethe most popular choices for investment.
- **Mutual Funds (28.1%), Gold (28.1%), and Crypto (9.4%)** follow, showing a diversityof asset choices.
- The data implies that traditional methods (**Savings/FD**) and higher-risk options (**Stocks**) are popular, but **Exchange-traded fund** is the least utilized (3.1%).

Chart Interpretation:

● The overwhelming majority, **59.3%**, report their main objective is **Saving for future**. ● The next largest group, **21.9%**, combines the objectives into **Learning and saving for future**.

- **Learning experience** alone accounts for **12.5%**, while **Quick profit** is a small minority at **3.1%**.
- This strongly suggests that students are investing with a **long-term perspective and future security** in mind.
- The results reflect a **mature and prudent** approach to investment, prioritizing future goals over immediate, speculative gains.

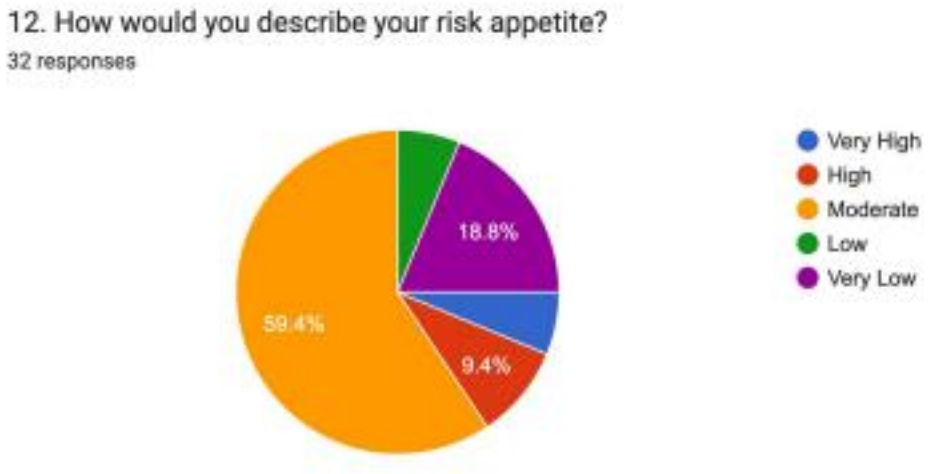

Chart Interpretation:

- The largest segment, **59.4%**, describes their risk appetite as **Moderate**, indicating balanced approach.
- The combined high-risk categories (**Very High** and **High**) make up **28.1%**(9.4%+18.8%).
- Conversely, the combined low-risk categories (**Low** and **Very Low**) account for **12.5%** (8.4% + 4.1%).
- A majority of students are comfortable with a **moderate level of risk** in their financial decisions.
- This preference for moderate risk aligns with the long-term saving objective identified in the previous question.

Chart Interpretation:

● A strong majority, **54.4%**, answered a definitive **"Yes"** to attending a workshop. ● A significant portion, **21.9%**, answered **"Maybe,"** indicating potential interest that could be converted.

● Only **23.8%** of respondents stated they would **"No"** attend a workshop. ● The combined positive interest ("Yes" + "Maybe") is over **75%**, demonstrating a high demand for financial education.

- This result clearly supports the need for the university to **host and promote on-campus financial literacy initiatives**.

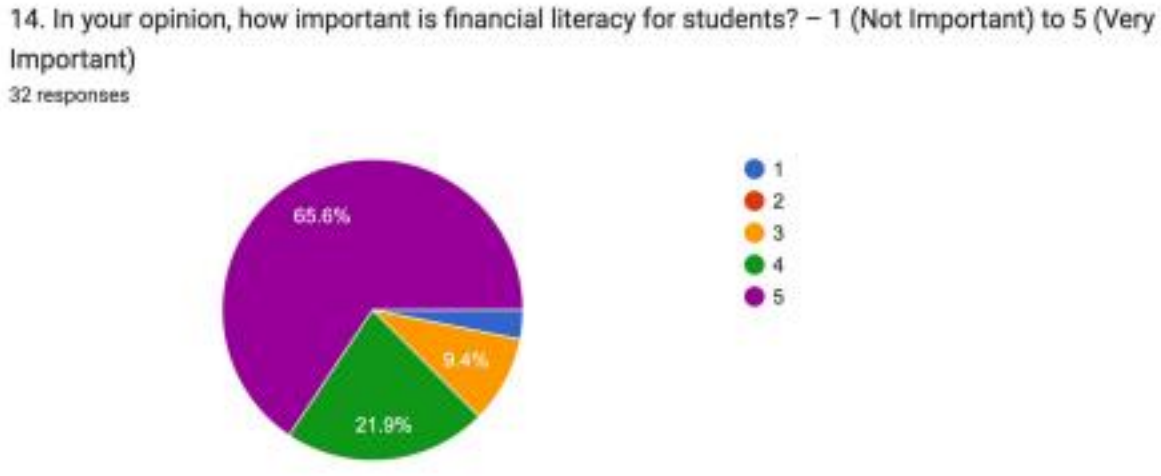

Chart Interpretation:

- The overwhelming majority rated financial literacy as highly important, with **65.6%** selecting **5 (Very Important)**.
- The next largest group, **21.9%**, selected **4** on the importance scale. ● Together, **87.5%** of students rated financial literacy as a **4 or 5** on the importance scale. ● Only a small fraction of students assigned lower scores (3 at 9.4%, 2 at 3.1%, and1at 0%).
- This survey item confirms the students' strong belief in the **critical importance of financial literacy** for their demographic.

Key findings

The survey reveals several key findings regarding the financial literacy and habits of the student sample, predominantly BBA students aged 17-22. A significant majority of students demonstrate basic financial discipline, with **59.4% maintaining a personal budget** and over **80% saving either regularly or occasionally**. This is underpinned by a high awareness of fundamental financial concepts, as **Inflation** and **Compound Interest** are familiar to nearly all respondents (**93.8%**). However, knowledge of specific investment tools, such as **Systematic Investment Plans (SIPs)**, is lower (**46.9%**), suggesting a gap between conceptual understanding and practical application.

The primary source of financial education is the **Internet (37.5%)**, surpassing traditional sources like parents, which highlights a reliance on digital, self-directed learning. This knowledge translates into action, as a slight majority (**56.3%**) have already **invested their own money**. Their approach is prudent, with **59.3%** stating their main objective is **Saving for future** and most describing their risk appetite as **Moderate (59.4%)**. While they favour traditional and common methods like Savings Accounts, Fixed Deposits, and Stocks, there is a clear demand for more formal education. A strong **54.4%**would definitely attend financial literacy workshop, confirming the students' own belief in the subject's importance, which **87.5%** rated as highly crucial (**4 or 5** on a 5-point scale). Overall, the students are proactive, knowledgeable in basics, but are actively seeking structured guidance to enhance their practical investment skills.

CONCLUSION

The findings from this survey paint an encouraging portrait of a **financially engaged and for ward-thinking** student body. While primarily focused on BBA students, the results show case that this generation is not waiting to start their financial journey. They possess a solid foundation in key concepts like **Compound Interest** and **Inflation**, with a significant majority **actively budgeting and saving**. Their investment behaviour is mature, driven by the prudent, **long-term objective of "Saving for future"** and

guided by a balanced, **"Moderate" risk appetite**. This self-reliance is powered mainly by the **Internet**, establishing digital platforms as the primary classroom for personal finance.

Crucially, the students themselves recognize that intent and basic knowledge are not enough. The high demand for **on-campus workshops**—with over three-quarters of respondents expressing interest—underscores a clear desire to formalize their learning and bridge the gap between theoretical awareness and practical investment execution (e.g., SIPs). Ultimately, the data serves as a compelling mandate: these students are highly motivated and possess the necessary foundational habits. The opportunity now lies with educational institutions to meet this demand, providing structured, practical financial literacy programs that empower these young individuals to transform their good habits into successful, long-term financial security.

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